

Removed Loans and Calculations

Understand how removed loans affect pool calculations and metrics

Overview

When loans are removed from pools, they're excluded from pool calculations but remain visible for tracking purposes. Understanding how removed loans affect calculations helps you manage pool metrics accurately and make informed decisions about loan inclusion and exclusion. The platform automatically recalculates pool metrics when loans are removed or reinstated, ensuring that pool characteristics accurately reflect only active loans.

Reference Details

Removed Loans Are Excluded - When a loan is removed from a pool, it's excluded from all pool-level calculations. The loan's balance, characteristics, and data are not included in any pool metrics. Pool metrics recalculate automatically to exclude the removed loan. This exclusion ensures that pool characteristics accurately reflect only active loans.

Pool Metrics Recalculate Automatically - When loans are removed, pool metrics recalculate immediately. Total balance decreases by the removed loan's balance, loan count decreases, weighted averages recalculate using only active loans, and all other metrics update to reflect only active loans. This automatic recalculation ensures that metrics are always accurate and up-to-date.

Removed Loans Remain Visible - Removed loans remain visible in the pool's loan list, marked with "Removed" status. This allows you to track what was removed and why, maintaining complete records for audit purposes. You can see removed loans, understand why they were removed, and reinstate them if needed.

Reinstatement Recalculates Metrics - When removed loans are reinstated, pool metrics recalculate again to include them. Total balance increases, loan count increases, weighted averages recalculate with the reinstated loan included, and all metrics update to reflect the reinstated loan. This automatic recalculation ensures that reinstated loans are properly included in pool metrics.

Impact on Weighted Averages - Weighted averages (coupon, FICO, etc.) recalculate using only active loans. Removed loans don't affect these calculations, ensuring that pool characteristics reflect only included loans. This ensures that weighted averages accurately represent active loan characteristics.

Geographic Distribution Updates - Geographic distribution metrics update to exclude removed loans, ensuring that location-based statistics reflect only active loans. This ensures that geographic analysis accurately represents active loan locations.

Loan Count Adjustments - Loan count decreases when loans are removed and increases when loans are reinstated. This ensures that loan count accurately reflects the number of active loans in the pool.

Balance Calculations - Total balance decreases when loans are removed and increases when loans are reinstated. This ensures that balance calculations accurately reflect only active loans.

Important Notes

Automatic Recalculation - Pool metrics recalculate automatically when loans are removed or reinstated. You don't need to manually recalculate—the system handles this automatically. This automation ensures accuracy and saves time.

Complete Tracking - Removed loans are tracked with who removed them and when, creating complete audit trails. This ensures accountability and supports compliance requirements. You can see the complete history of loan removals and reinstatements.

Reinstatement Is Possible - Removed loans can be reinstated if needed. When reinstated, they're included in calculations again, and metrics update automatically. This flexibility allows you to manage pool composition effectively.

Status Indicates Removal - Removed loans show "Removed" status, making it clear which loans are excluded from calculations. This helps you understand pool composition and identify which loans are active and which are removed.

Metrics Reflect Active Loans Only - All pool metrics reflect only active loans, not removed ones. This ensures that pool characteristics accurately represent included loans. Understanding this helps you interpret pool metrics correctly.

Impact Is Immediate - When loans are removed or reinstated, the impact on pool metrics is immediate. Metrics update right away to reflect the change. This immediate update ensures that metrics are always current.

No Manual Calculation Needed - You don't need to manually recalculate metrics when loans are removed or reinstated. The system handles all calculations automatically. This automation ensures accuracy and consistency.

Complete History Maintained - All removal and reinstatement actions are tracked with complete history. You can see when loans were removed, who removed them, when they were reinstated, and who reinstated them. This history supports audit and compliance requirements.

Understanding removed loans and calculations helps you manage pool metrics accurately, make informed decisions about loan inclusion, track what's been removed and why, ensure pool characteristics reflect only active loans, and work effectively within the pool management system.